Size and Quality of Population

Economic power depends not just on the size of a country's population but also on the quality of its population, particularly its labour force – looking ahead this may turn out to be the most important factor.

India's population will surpass China's by 2027, according to the UN. By 2050, India's population is expected to be 1.5 billion whereas China's population is expected to have shrunk to 1.1 billion – a gap of 400 million people.[11] The overall numbers could count in India's favour. India also has a potential demographic dividend, that is, a lot of young, physically able people who can power economic production. China by contrast is already facing a future in which its younger population is declining relative to older people. In 2050, India may have 220 million more working-age people between the age of twenty-five and sixty-four.[12] Crucial here is labour force productivity. India's demographic lead will be a plus if its labour force is highly productive. The trends show otherwise, comparatively speaking. China's labour productivity in 1970 was estimated to be one-third India's, but by 2002 the two countries were on a par. In 2016, India's labour productivity had fallen to two-thirds of China's.[13]

Labour productivity in turn depends on a variety of factors but most fundamentally on education and health. A worker must be literate, perhaps up to the eighth grade, and must be physically strong enough to operate machines and other devices in the fields and factories during a normal workday. India's record here suffers in comparison to China's. According to the World Bank, in 2018, India's adult (over fifteen years of age) literacy rate was 74 per cent, a figure that China passed in the late 1980s, nearly forty years earlier. By 2018, China's adult literacy figure was nearly 97 per cent.[14] How many children persist to the end of their primary school education, that is, until the end of the sixth grade? In 2018, the figure for India was 86 per cent. China achieved that figure in 1990. In 1997, the last year that China reported the figure, it was nearly 94 per cent, eight points higher than India's in 2018. The worrying fact about India's record is the steady *worsening*: in 2014, 93 per cent of Indian children had persisted to